

5050 Hayter Avenue

Lakewood, CA · 5 units · Acquired June 2019 · Sold May 2020

LEVERED RETURN 1.37%	PROFIT \$16,199
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THE OPPORTUNITY

A five-unit asset in Lakewood — a Los Angeles suburb VWC entered to demonstrate the breadth of its acquisition reach beyond Orange County. Two- and three-bedroom unit mix, eight garages, on-site laundry. Walk-distance to Lakewood Center Mall.

THE STRATEGY

The classic 12-month value-add lifecycle. From the press release: "The property was renovated, re-rented and sold with higher market rental rates within 12 months of acquisition, while navigating the challenges imposed by COVID-19." Sold for \$407K/unit — a meaningful step-up from the \$336K/unit acquisition basis. Benefitted investors of VWC Orange County Multifamily Fund II.

DEAL SNAPSHOT

Acquisition Price	\$1,680,000	Loan Amount	\$840,000
Per Unit	\$336,000 / unit	Loan-to-Cost	42%
CapEx	\$136,251	Equity Invested	\$1,178,801
Total Cost	\$2,018,801	Sale Price	\$2,035,000
Hold Period	11 months	Exit Per Unit	\$407,000 / unit

INVESTOR TAKEAWAY

The headline return is small, but the story matters: this asset closed in May 2020, weeks into the COVID lockdown, with a 21% project-level return on the unlevered basis (per the original press release). It exemplified Fund II's "life cycle" strategy — buy, renovate, re-rent, sell — executed on schedule even as the rest of the market froze. Discipline beats waiting for the perfect window.

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